Market Structure

The general order flow of the market, or market structure, gives us a mechanical foundation for interpreting and comprehending price.

Accurately mapping and comprehending market structure greatly increases the likelihood of not only predicting the next price target but also the anticipated trajectory of the price as it moves there.

A mechanical approach must be used to map market structure in an identical and consistent manner each and every time. In an unpredictable market, your chances of getting consistent results rise if you can maintain consistency in the way you analyze the market.

BASIC MARKET STRUCTURE
Bullish Market Structure (Up Trend) -> higher highs and higher lows
Bearish Market Structure (Down Trend) -> lower highs and lower lows
Higher lows and lower highs are not confirmed until a Break in Market Structure (BMS)
Swing High -> highest point that caused the swing low
Swing Low -> lowest point that caused the swing high
BMS -> break in (swing) structure
After a BMS, expect a pullback/retracement on that timeframe
Internal Structure -> all structure between the swing high and low
SMS- Swing Reversal
A Swing trend change is only confirmed once a Swing higher low or a lower high is taken out (BMS).

TREND CHANGE

A trend change is when the expectational order flow (EOF) fails.

In a bullish trend, the expectation is that price will continue to make higher highs and higher lows.

In a bearish trend, the expectation is that price will continue to make lower highs and lower lows.

Bullish trend change -> is confirmed once price breaks a swing lower high to form a swing higher high (bullish BMS).

Bearish trend change -> is confirmed once price breaks a swing higher low to form a swing lower low (bearish BMS).

SMS - Shift in Market Structure

Internal Structure -> all structure between the swing high and low
Shift in Market Structure (SMS) -> internal bullish structure changing to bearish structure (vice versa)

SMS is a useful signal that:

- **a Swing run (expansion) may be finished and a Swing pullback (retracement) may be starting.**
- **a Swing pullback (retracement) may be finished and the next Swing run (expansion) is about to start.**

In simpler terms, SMS can signal when the Swing turning points may be occurring.

But SMS can give false signals, it doesn't guarantee that a Swing HL or LH has formed.